

Solid performance in both PCB and IC substrate Quick Note

Shennan Circuits reported 1H26 results on 26 August after market close. Revenue/earnings grew 46.3%/65.6% y-y, translating into 2Q26 revenue/earnings growth of 53.4%/61.3% y-y (up 31.9%/64.8% q-q). 1H26 revenue beat our estimate by 6.2%, while 1H26 net profit of CNY2.25bn approached the upper limit of its profit alert (CNY2.1bn-2.3bn). 1H26 GPM increased by 4.7pp y-y to 31.0%, and 2Q26 GPM improved by 4.8pp y-y to 32.6% (+3.2pp q-q), driven by high-end PCB, higher utilization rates of IC substrate and a more favorable product mix of substrate, in our view. We think the company has significant room to grow in the high-end product segment (i.e., ABF-substrate) in 2H26F, driven by rising demand from domestic AI chip and memory customers. We maintain our Buy rating and TP of CNY518, based on 43x FY27F EPS of CNY12.05, in line with an FY26-28F earnings CAGR of 43%. The stock is currently trading at 28.9x FY27F EPS.

By segment, PCB revenue grew 36.3% y-y to CNY8.55bn (58% of total revenue), while the segment's GPM improved 2.4pp y-y to 36.9%, driven by increased contribution from high-end PCB products in the data center sector, in our view. IC substrate segment revenue grew 110.8% y-y to CNY3.67bn (25% of total revenue), while the segment's GPM was 31.4% (up 16.2pp y-y), likely due to a higher capacity utilization rate and higher contribution from ABF-substrate, in our view. PCB assembly segment's revenue grew 33.7% y-y to CNY1.98bn (14% of total revenue), while the segment's GPM was 17.3% (up 2.3pp y-y).

Rating Remains	Buy
Target price Remains	CNY 518.00
Closing price 26 August 2026	CNY 348.03

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Fig. 1: Shennan Circuits - 1H26 and 2Q26 results review

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	y-y	q-q	1H24	2H24	1H25	2H25	1H26	y-y	h-h
	A	A	A	A	A	A	A	A	A	A			A	A	A	A	A		
Turnover	3,961	4,360	4,728	4,858	4,783	5,671	6,301	6,893	6,596	8,701	53.4%	31.9%	8,321	9,586	10,453	13,194	15,296	46.3%	15.9%
% chg yoy	42%	34%	38%	20%	21%	30%	33%	42%	38%	53%			38%	28%	26%	38%	46%		
COGS	(2,963)	(3,178)	(3,528)	(3,792)	(3,600)	(4,106)	(4,323)	(4,922)	(4,672)	(5,880)			(6,141)	(7,319)	(7,706)	(9,245)	(10,552)		
Gross Profit	998	1,182	1,201	1,066	1,183	1,564	1,978	1,971	1,924	2,820			2,180	2,267	2,748	3,948	4,744		
OPEX	(590)	(515)	(675)	(639)	(656)	(583)	(915)	(907)	(981)	(1,219)			(1,105)	(1,314)	(1,239)	(1,822)	(2,200)		
Operating Income	408	668	526	427	527	981	1,063	1,064	943	1,601	63.2%	69.8%	1,075	953	1,509	2,127	2,544	68.7%	19.7%
% chg yoy	94%	179%	20%	-16%	29%	47%	102%	149%	79%	63%			140%	0%	40%	123%	69%		
Pretax income	407	668	525	424	523	976	1,060	1,065	941	1,607	64.8%	70.9%	1,074	949	1,499	2,125	2,548	70.0%	19.9%
% chg yoy	95%	177%	20%	-17%	29%	46%	102%	151%	80%	65%			139%	0%	40%	124%	70%		
Tax	(28)	(60)	(25)	(33)	(31)	(106)	(93)	(114)	(89)	(204)			(87)	(58)	(138)	(207)	(293)		
Profit to shareholders	380	608	501	390	491	869	966	950	850	1,401	61.3%	64.8%	987	890	1,360	1,916	2,251	65.5%	17.5%
% chg yoy	84%	127%	15%	-21%	29%	43%	93%	144%	73%	61%			108%	-4%	38%	115%	66%		
Ratio Analysis																			
GPM	25.2%	27.1%	25.4%	22.0%	24.7%	27.6%	31.4%	28.6%	29.2%	32.4%	4.8pp	3.2pp	26.2%	23.7%	26.3%	29.9%	31.0%	4.7pp	1.1pp
OPEX	14.9%	11.8%	14.3%	13.2%	13.7%	10.3%	14.5%	13.2%	14.9%	14.0%	3.7pp	-0.9pp	13.3%	13.7%	11.9%	13.8%	14.4%	2.5pp	0.6pp
OPM	10.3%	15.3%	11.1%	8.8%	11.0%	17.3%	16.9%	15.4%	14.3%	18.4%	1.1pp	4.1pp	12.9%	9.9%	14.4%	16.1%	16.6%	2.2pp	0.5pp
NPM	9.6%	13.9%	10.6%	8.0%	10.3%	15.3%	15.3%	13.8%	12.9%	16.1%	0.8pp	3.2pp	11.9%	9.3%	13.0%	14.5%	14.7%	1.7pp	0.2pp

Source: Company data, Nomura research

Fig. 2: Shennan Circuits - 1H26 revenue by segment

(CNY mn)	1H24	2H24	1H25	2H25	1H26	y-y	h-h
Revenue by segment							
PCB	4,855	5,638	6,274	8,086	8,552	36.3%	5.8%
<i>y-y growth</i>	25%	35%	29%	43%	36%		
<i>% in total</i>	61%	62%	64%	65%	58%		
IC substrate	1,596	1,575	1,740	2,408	3,667	110.8%	52.3%
<i>y-y growth</i>	94%	6%	9%	53%	111%		
<i>% in total</i>	20%	17%	18%	19%	25%		
PCB assembly	1,211	1,612	1,478	1,597	1,976	33.7%	23.8%
<i>y-y growth</i>	42%	27%	22%	-1%	34%		
<i>% in total</i>	15%	18%	15%	13%	14%		
Revenue by geography							
China	5,244	6,119	5,941	7,874	8,880	23.4%	16.7%
<i>y-y growth</i>	48%	23%	13%	29%	49%		
<i>% in total</i>	66%	67%	60%	63%	61%		
Overseas	2,653	3,025	3,906	4,607	5,752	37.4%	14.0%
<i>y-y growth</i>	20%	37%	47%	52%	47%		
<i>% in total</i>	34%	33%	40%	37%	39%		
GPM							
PCB	31.4%	31.8%	34.4%	36.4%	36.9%	2.4pp	0.5pp
IC substrate	25.5%	10.7%	15.1%	28.0%	31.3%	16.2pp	3.4pp
PCB assembly	14.6%	14.2%	15.0%	15.0%	17.3%	2.3pp	2.3pp

Source: Company data, Nomura research

Appendix A-1

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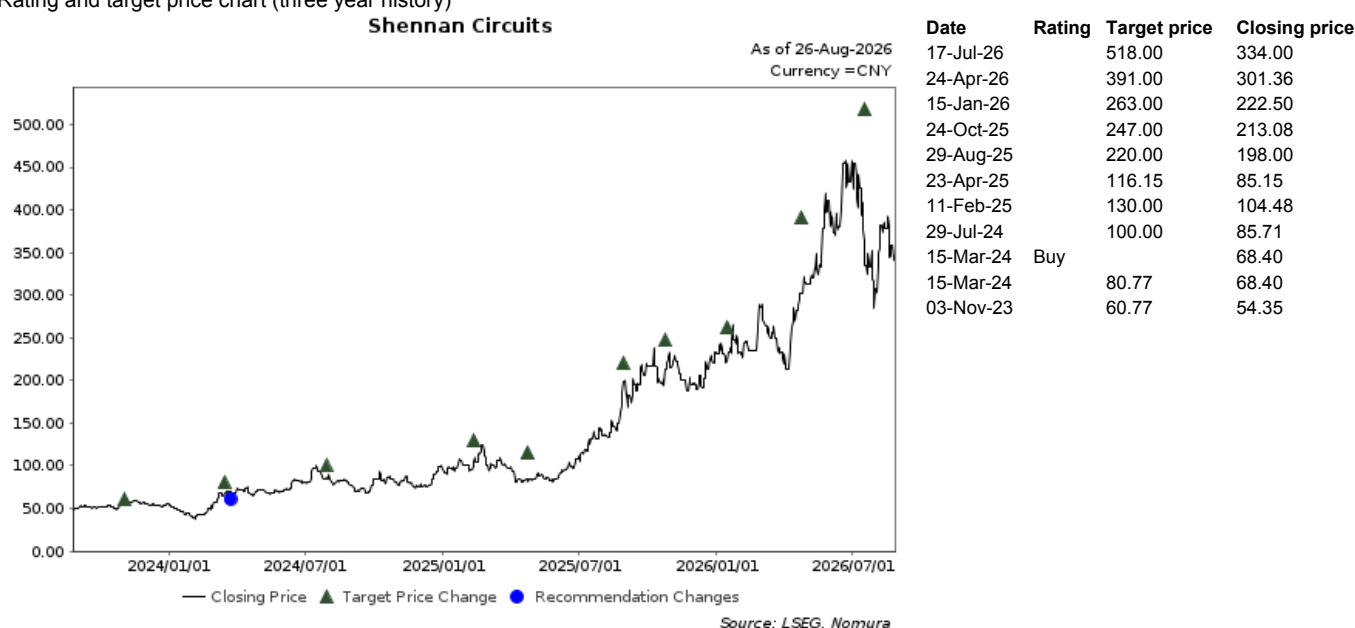
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shennan Circuits	002916 CH	CNY 348.03	26-Aug-2026	Buy	N/A	

Shennan Circuits (002916 CH)

CNY 348.03 (26-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY518.00 is based on 43x 2027F EPS of CNY12.05, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: 1) delay in AI infra investment or slower-than-expected capacity expansion for AI PCB; 2) further sanctions on the telecom value chain companies in China by the US; and 3) intensified competition in the PCB market in China.

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